

Second Pass Review Protocol

Month-end flux commentary drafted with AI assistance. Version 1.0, effective 12 September 2026. Owner: Khaled Alkurd.

Control objective

No commentary drafted with AI assistance is released until a second pass has tied every figure in it to the ledger and a named reviewer has signed the two judgment questions: is the driver named in the sentence supported by a document on file, and does that driver belong to the period the sentence covers.

Scope

The control covers the monthly flux memo written against the close variance schedule, and it reads every sentence in the memo plus every account on the schedule, including the accounts the memo never mentions. Commentary is owed where a movement passes both legs of the threshold on that schedule, which are more than \$25,000 and at least 10 percent of the prior balance, both rather than either.

The second-pass reviewer runs it after the preparer releases the draft and before the controller's review, on the close calendar day the memo is due to the controller. Audit workpapers, tax positions, statutory reporting and forecast commentary sit outside it.

Procedure

1. Run the four mechanical checks over the ledger and the memo as drafted: arithmetic, every figure recomputed against the ledger; direction, every stated movement tested against the sign of the balance change; threshold, every account that passes both legs listed; silence, every account that passes both legs and carries no sentence. One row per sentence and one row per silent account.
2. Clear or escalate each fail. It goes back to the preparer with the recomputed figure, a corrected sentence re-enters at step 1, and a figure the preparer cannot support becomes an ask to the controller carried on the same row.
3. Read only the reviewer queue, which is the sentences that passed all four checks. The reviewer does not re-read what the checks cleared and does not sign a sentence they failed.
4. Answer the driver question and the timing question on each sentence in the queue from the facts on file, naming in the row the document relied on or the ask it raises.
5. Sign. Enter the reviewer name and the date on every row, release the log with the memo version to the controller, and record the controller sign-off on the same file.

Evidence retained

Four things for each close: the results table the checks produced; the reviewer's written answers on driver and timing, with the document each one rests on; the signed log carrying the reviewer name, the date and the controller sign-off; and the version of the memo released, held beside the log so a reader can see which words the signature covers. The set is retained with the close file.

Roles

Role	What the person does	Who may not hold it
Preparer	Prompts the assistant, edits the draft, answers a fail with a corrected figure or a document	Anyone signing the second pass on this memo
Second-pass reviewer	Runs the checks, works the queue, answers the two judgment questions, signs the log	The preparer, and anyone who prompted the assistant for this memo
Controller	Reads the signed log with the memo, resolves every open ask, signs the release	The reviewer, because the sign-off is not delegated

What this control does not do

It does not judge whether a business reason is a good one, only whether the sentence ties to the ledger and rests on a document on file. It does not replace the controller's review, and the reviewer's signature never stands in for the controller's own.

Change log

Every release adds one entry of five lines: version, date, what changed, why it changed, who approved it. A version that has been used on a close is never edited, and a correction is a new version with its own entry.

- Version 1.0
- 12 September 2026
- First issue: the four mechanical checks, the two judgment questions, the evidence log, the roles
- Written because the drafting tools hand commentary to a reviewer with nothing on paper to check it against
- Approved by Khaled Alkurd